whomever was willing to lend to them, and dump those shares in the market.

As the carnage was playing out, the stock exchanges added fat to the fire by hiking margins on various stocks and then insisting on brokers paying up the margins ahead of the usually permitted time. Brokerages did not have a choice; if they did not fork out the margin money, their trading terminals would be shut down. Brokers were now caught between the devil and the deep sea. Trading terminals being shut down in a falling market amplified the risk for the broker if he had long positions and prices were continuing to slide. Brokers responded by liquidating their clients' positions. In some cases, clients promptly wrote out cheques towards margin payment. The RTGS facility for speedy transfer of funds had still not caught on in a big way, and their cheques would take at least two days to clear. Two days was a long time in a panic-stricken market such as this one. Besides, there was no saying if the clients actually had sufficient balances in their accounts, given that many of them had suffered heavy losses. A climate of fear and mistrust had settled in the market.

On their part, the exchanges were right in demanding additional margins to ensure there were no defaults by brokers. But the situation would not have come to such a pass had they been gradually increasing margins instead of hiking them at one go when things began to go out of control. Keeping margins unchanged in a rising market encourages players to build up positions recklessly. As long as prices were rising, the credit in the trading accounts was good enough to take care of the margins. It did not occur to anybody that the margins would be woefully inadequate if the prices fell sharper than they had in the past.

After the 208-point fall of the Sensex on Friday, most players did not expect an even sharper decline in the next trading session. Many felt the market would rebound, even if briefly, considering it had been falling consecutively for the last five sessions. But the market was not through with its brutal punishment of the bulls.

The Nifty fell to a low of 4,977 on Monday before trimming some of its losses to close at 5,208. It had fallen around 500 points for the day and the Sensex by 979 points. I had squared off nearly 60 per cent of my positions by the end of the day after realizing a profit that would have caused heartburn to anybody who got to hear of it.